

Economic-globalisation



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— — — — Overview — — — — —

Economic globalization began as early as the 19th century, although some social scientist have identified the start of it in 1870, when some countries became significant in the share of gross domestic product ([Volle2026](#)). It is thought to be the effect of interconnection, and time-space distanciation (an occurrence that enables time and space to be organised in effect of presence and absence)([Volle2026](#)).

Economic globalization brought the decrease of trade blocks and the increase of mutual work for global goals ([Yamamoto,Kat and Rahschulte 2019.](#)). Data shows that countries that are open to work with other countries tend to get wealthy, whilst the ones trying to keep alone, become poorer. ([Yamamoto,Kat and Rahschulte 2019.](#))

Foreign direct investment has become a big part of the international economy. In fact, it represents about 1.3 percent of the total gdp of the world with around \$1.5 trillion in 2024. ([The world bank](#)) ([UNCTAD.](#)) Overall, the rise of the FDIs(Foreign direct investments) has greatly impacted our world and will continue to do so...

— — — — Its impact — — — — —

Studies have shown that countries, especially with low job opportunities generally benefit from Foreign Direct investments([Danescu and Paula](#)). More precisely, studies find that countries, with high GVC, experience a stable development. ([Benetrix, Agustin, et al](#))

GVC means a process, in which a product is assembled in steps, particularly assembled in a cross country production line process. ([Tutor2u](#)).

This means that countries, emerging countries, whom are doing work as a part, to reach a final product , receive a lot of help and opportunities to do so, from foreign investments. When foreign direct investments allow more work to be done, by opening a factory for example it creates a chain reaction: It opens more opportunities for work, enhances the production speed of the products, which results in a higher output for the country which will then get counted into the total domestic output of the country.

— — — — Data&Graphs — — — — —

— — Problems/Solutions — — — — —

A major problem is the price gap between developed countries and developing countries. For instance a worker in Bangladesh, earns less money a month than the american counterpart in the same sector a day. ([National Geographic Society](#)).

① ie second problem with economic globalization is, the developing countries overexceeding their limits. For example, a garment factory collapsed in 2013 killing more than 1100 people. ([National Geographic Society](#)). It is also suggested that child labor could grow([National Geographic Society](#)) in

case the FDIs get sudden jumps, as more job opportunities impact it negatively.

A major solution to these problems, is the strengthening of international trade law. For instance, international trade law, has already reduced poverty across many developing countries. [\(Muhammad Faisal Aslam et al.\)](#)

By strengthening global trade law, the countries pay gap could lower, potentially saving millions from absolute poverty.

— — Sources — — — — —

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